

Goldman Sachs Global Staples Forum

Company Participants

- John Fieldly, Chief Executive Officer
- Toby David, Executive Vice President

Other Participants

- Bonnie Herzog, Analyst, Goldman Sachs Group, Inc.

Presentation

Bonnie Herzog {[BIO 1840179 <GO>](#)}

All right. Good morning, everyone.

It's a pleasure to introduce our next speakers, John Fieldly, CEO of Celsius Holdings; and Toby David, Executive VP.

Celsius is a rapidly growing brand in the energy drink category with North America sales up triple digits in Q1, and an exciting pipeline of innovative and better-for-you beverages.

Now Celsius' distribution agreement with Pepsi which was announced last summer is off to a great start, helping the company double its share within the Energy segment over the last year, while the stock has meaningfully outperformed the market over the last year -- up nearly 135%.

And with that, I'm going to join the two of you. Thank you, so much.

Wow.

John Fieldly {[BIO 17560616 <GO>](#)}

It's been exciting, the last 12 months since we've been here.

Bonnie Herzog {[BIO 1840179 <GO>](#)}

I was looking back at that because I had some notes and it doubled right?

John Fieldly {[BIO 17560616 <GO>](#)}

It's amazing. The brand is resonating with a broader consumer than ever before. And coming back here, the latest data as of April we've always talked about being a \$1 billion brand, and the latest scan data has Celsius as of the last 52 weeks as of April 26, we've reached that \$1 billion brand status at retail.

So just a really exciting time for the company.

Questions And Answers

Q - Bonnie Herzog {[BIO 1840179 <GO>](#)}

Congratulations, honestly. What do you think have been the key drivers behind this? Just it's certainly resonating with consumers, but how much is the Pepsi relationship kind of boosted some of this talk to some of these key drivers?

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes. You'd reflect on where we've been over the last 12 months, we go back to the last time we were at the Goldman Sachs Global Staples Forum. We were growing -- we're bringing new consumers into the category. We are continuing to gain -- really grow our ACV and really build solid relationships with a lot of the key retailers in the country. We've built -- we continue to build upon that. In October, we partnered with Pepsi, where we moved our distribution from mainly the independent Anheuser-Busch distributors to Pepsi on a national basis in North America. That opportunity is further building out our sales team and marketing team.

But as of the end of the first quarter ended March 26, we had a 95% ACV. So we just achieved that. We had great resets that have taken place this year with our new partners and getting a lot of the independent accounts that we brought on has really been an exciting and just the momentum behind the brand. But that's really a lot of the key drivers was getting to that 95% ACV, which we got there a lot faster than we ever thought. Actually, internally, we were thinking it would be another 12 to 18 months before we reach that 95% ACV. So we're really excited about that.

Q - Bonnie Herzog {[BIO 1840179](#) <GO>}

Where are you sourcing share from? Or I mean I think you're bringing incremental consumers into the category, but just curious.

A - John Fieldly {[BIO 17560616](#) <GO>}

Sure. We are. We actually -- Toby and I were just talking about that. I don't know if you want to?

A - Toby David {[BIO 20749891](#) <GO>}

Yes. Sure. About 24% of our consumers are incremental to the category, new to the category per numerator. Then another 44% is incremental to the category because it's what the term user intensification. So in totality, you're looking at 68% of Celsius sales are incremental. So retailers love that. It's just not brand shifting. Obviously when you look at the brands we source from, Red Bull and Monster, they're 70-plus percent of the category, so they're going to be a preponderance of it. Obviously what's happened with Bang we've been able to capitalize on that as well. But we're able to dabble in both. We're able to source from the biggest players, and we're also bringing these new consumers to the category, which is exciting for everybody.

A - John Fieldly {[BIO 17560616](#) <GO>}

I think that goes to our positioning as well, right? The new age energy, I can't tell you the number of people that ran into today at the conference here. They consume Celsius. We have replaced it with their coffee but they don't consider themselves an energy drink consumer. So when Toby mentioned like incremental to the category, that's what differentiates Celsius. It's -- we're truly incremental. People see us beyond an energy drink. I think when we were here last year, we're talking about we want to be a major player in the energy category. I think today and in the last 12 months, what we've seen is Celsius can be an opportunity to be a major player in total beverage.

And that's really what we're seeing now with some of the expanded distribution with Pepsi where 10% of our Pepsi sales right now are in this food service, this untracked channel, which is quite interesting. I know a lot of our employees, a lot of people we met today some of the investors out there, they have Celsius with their lunch. That's outside that traditional energy drink usage

occasion. So that we really when we see -- talk about Celsius now, we really see it as a total beverage opportunity.

Q - Bonnie Herzog {BIO 1840179 <GO>}

And does that get you to thinking about your share next year when you're hopefully going to join us at this conference. Do we look at another double or I don't want to push it. How about I ask it this way. I mean is 10 share within reach given this momentum?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean I think so. What's exciting, we just reported our first quarter numbers. And as of March 26, we reported that we're a 7.5 share. 30 days later, the latest data comes out, April 26, and we're at an eight share now. So we've gained a 0.5 share point in 30 days. So and you go back in the last 12 months, we were 3.7 shares. So -- and we just gained 95% ACV, like I said. So we have 13.6 items on average scanning at retail right now, which is a major opportunity. We're seeing our velocity starting to increase, even though we gained a ton of distribution and really lower-turning chains and accounts. So I think between Toby and myself, I've been with the company 12 years, Toby's been here 10. We have a lot of great team members. I think everyone's really excited on where the company is right now.

A - Toby David {BIO 20749891 <GO>}

I would just add to that, John cited on the earnings call that -- and it's the first time we've released any data like this. But in the South Florida market, which is a top 10 energy market in the country, we're about 22% market share in South Florida. So a mature market, where we still view there's plenty of upside left, especially in the Miami area. We'd always cited Amazon, we're at 19% in Amazon. So when you look at like those -- Amazon is obviously a big national player. But to be 22% in South Florida, really, I think indicates where some of the runway is for this brand.

A - John Fieldly {BIO 17560616 <GO>}

And it's like some of the new markets that Pepsi brought us to. I mean like Buffalo, New York, we're a strong double-digit player right now, and that's really a new market for us. We never really marketed there. So we're seeing a lot of great opportunities in certain regions of the country that are popping up that we didn't really have that presence or distribution availability. So the brand is resonating. We were saying it's a broad consumer base, it's resonating with the next generation of energy and people that are traditionally aging out. We'll keep them in the category with something better for you.

And a big push this year, a lot of brands are pushing the no sugar. So that's allowing consumers to really think about their energy drink and what they're consuming, and we think that could be further opportunities for brands like Celsius.

Q - Bonnie Herzog {BIO 1840179 <GO>}

Yes. Speaking of that, I think what is most impressive about your performance is you've done this with just stepped up competition. I mean with the success you've had, I think is certainly attracting more players into this new age fitness performance energy drink category. So how do you think about that? How worried are you? And how do you defend sort of the shares.

A - John Fieldly {BIO 17560616 <GO>}

Yes. Listen, we're hyper paranoid at Celsius. Yes. So I think that's really key. Competition is fierce. It's a growing category. The category has been growing at double digits. There's -- we think there's a long runway of growth ahead in the energy category. There's always going to be competition. It's -- right now, we're the third -- number 3 brand in the category. So we have a ways to get to number 2, and we have a lot of people coming after us, below us. So it's a little bit of an uncomfortable position to be in number 3, we're glad we made it. We're growing from there.

But listen, we can only control what we can control, and we keep the teams extremely focused on what we need to do to really leverage our playbook and execute against our plans, our annual operating plans. You got to outmaneuver and outexecute. That's what I tell the teams all the time. We never be complacent. Category is evolving, consumers are evolving. We need to make sure we stay up with the trends of today as the trends today will be gone tomorrow.

So it's constantly reinventing yourself, I think is really critical as a company. We've done that and bringing in new consumers. We're connecting with new consumer segments within the consumers as well. We started to get into over the last year, MMA. So we've been partnering with a variety of MMA fighters and really going further expanding as our ACV and our availability has increased, we've had to reach out a little bit further into additional consumer segments, and it's worked out well.

Q - Bonnie Herzog {[BIO 1840179 <GO>](#)}

And speaking of that and as you try and touch new consumers, your innovation pipeline, frame it for us in terms of how it compares to last year. I know you've come out with some new flavors as this one is, green apple, cherry --

A - John Fieldly {[BIO 17560616 <GO>](#)}

Yes. I brought green apple, cherry, because I think this is a great example of some of the highlighting of the innovation that we had and this was a partnership with 7-Eleven. It's one of the fastest-growing SKUs they have in 7-Eleven and growth to the category. It just shows you like the innovation team at Celsius really on the forefront. They did a great job. It's a great flavor profile. We partnered with 7-Eleven. We do extremely well at 7-Eleven, built a variety a ton of brand awareness around it. We also have a lemon lime out there in the hall. We have a lemon lime flavor where we partnered with Walmart on the launch -- an earlier launch, done really well. It's allowed us to really ignite.

Walmart, which is one of the largest energy drink retailers in sales in the category. So lots of opportunities all around. We've got great flavor innovation for this summer. We already have our plans in place for '24 as well, some really good new innovation. More to come on that. But it's been exciting. A lot of new innovation out there. You got to stay fresh. You got to stay relevant. We need to partner with our retailers as well.

Q - Bonnie Herzog {[BIO 1840179 <GO>](#)}

No, that makes sense. What about any -- you tell me, but in terms of what your plans are for '24, but is it further flavor profile? Or is it package innovation? Do you foresee some of that in the future?

A - John Fieldly {[BIO 17560616 <GO>](#)}

Yes, absolutely. I think next year, we're going to really stay focused on our core portfolio. So you're going to see some really great innovative flavors coming out of our pipeline and our fruit forward line. Then also, we have our 16-ounce opportunity that we have with our Celsius HEAT line. We're going to further innovate there. We think there's opportunities there. Then we're also looking at -- always looking at where the category is going, what opportunities are adjacent to the category that we're looking at. Right now, the main focus is timing and sequencing and really considering that we just got to a 95% ACV, we're going to stay focused over the next 12 months and really drive this portfolio forward.

Q - Bonnie Herzog {BIO 1840179 <GO>}

Okay. The spring shelf resets just occurred. Talk about how much incremental shelf or cooler space that you got during the resets. Have you quantified that? Or how does that compare also to the entire energy drink category?

A - Toby David {BIO 20749891 <GO>}

Yes. Yes. So as of March 26, what we cited during the earnings call, we were up to 13.6% SKUs per location in the MULO+C data, which is all grocery and convenience. I believe that was up from about eight SKUs roughly from the year prior. Really a lot of that growth would come from convenience, where historically we had -- that was our last channel that we entered. You were looking at -- last year, we probably had three or four SKUs and a lot of convenience stores around the country. We're nearing double digits now. But that 13.6% figure that was as of March 26 and the four-week data. So that's during high season of the reset. So I think there's still some meat on the bone, so to speak, that by June -- late June, you probably have a good perspective of how the resets went. We felt like we had a great selling story going into the selling season last fall.

Obviously with what was going on with Bang, that was helpful for us, and we capitalize on that with our very aggressive sales organization that was able to capitalize on that. The story that we're already speaking of, the incrementality to -- for retailers, they love it. We were able to get some really nice placements.

A - John Fieldly {BIO 17560616 <GO>}

I think the biggest win is in convenience, right? So if you look at -- this brand was built in fitness. So we've built in the chains, Gold's Gym, 24-Hour, Vitamin Shoppe. And for a variety of -- because of the brand's DNA, we were really able to penetrate convenience. Now we have 7-Eleven in the early days, but we built it in mass drug and now club. Then really like the front tier for Celsius was really the convenience channel. If you go back, most recently, we gained 37 share points of ACV. So that I think on the last resets, that's really the amazing opportunity and we're at a 93% ACV right now at the end of the first quarter. That allows us to play on the playing field and energy. 70% of energy drinks are sold in convenience and gas. And now we have a presence there.

To Toby's point, there's opportunities to gain further items in each location and better placements, but we're in. So that's what gets us excited at especially finalizing the last resets. I think that's the biggest win that the company has had right now.

Q - Bonnie Herzog {BIO 1840179 <GO>}

I mean given how attractive this category is the growth, the profitability, retailers are allocating more space. Where do you think some of that space is being sourced from? Then are they allocating -- some retailers, I think are allocating, I don't know, better-for-you energy drink space, which you are hopefully capitalizing on as well.

A - John Fieldly {BIO 17560616 <GO>}

Yes. I asked that question a lot to a lot of the buyers and retailers because you're right. There is more space being allocated to energy. The category continues to grow. We hear, especially coming out of NACS last year, I asked that question a lot as well. It seems to be a lot of the teas, juices and waters was getting consolidated at that point to allow that additional energy door. There's a lot of fragmentation. Obviously a lot of the lead players in energy want to fragment the energy door to protect their shelf space and precious real estate. So they'll try to talk about new age, talk about better for you and that puts you either in the gutter, in the nosebleed section and it doesn't allow for the bull's-eye placement, which is the optimal placement.

So when we talk about it, we talk about total energy. We were -- our sales weren't, our velocities weren't to be placed in energy and in that main door of the cooler. So that's what we go after. We try not to be pigeonholed to these other adjacent categories that are subpar in the door. We've been -- the teams -- our key accounts team has done an amazing job. Really getting -- moving us out of the gutters or out of the nosebleed section into the bulls-eye areas we call it internally so.

Q - Bonnie Herzog {BIO 1840179 <GO>}

Switching gears a little bit to pricing. You've put in some pricing over the last 12 to 18 months. Remind us of how much and maybe when that was implemented? Then do you have plans for incremental pricing this year? I'm thinking about it too with what the other the big guys have done?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean we took like on an average around a 6% price increase last year. We're constantly evaluating pricing and opportunities that are out there. I think there's more opportunity to take price. But just due to the macroeconomic conditions and working with retailers there might be further opportunities to gain leverage working with our suppliers and our supply chain versus taking frontline pricing. At this time, I think we're a little bit cautious on the current environment. We're going through the processes. We have a pricing committee that meets every month. We talk about the pricing in the category. It seems to be a lot more promotions potentially happening now. So will that whole 6% take place? No, because you're going to deal down and average in. But the -- the whole category pretty much took price, but now you're starting to see some deals come in. We're watching that closely as well. I think there's just a lot of uncertainty right now with the category on how much pricing consumers can take and also retailers as well.

Q - Bonnie Herzog {BIO 1840179 <GO>}

Yes, that was going to be my next question is promos because hearing from many companies. Certainly, well, it depends on which one, but some level of promotions will step up, especially over the summer. I think in energy, you're already starting to see some. Do you have plans also then to promote to in line with what you're seeing from some of the others?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I think we're getting questions now from retailers. Retailers are asking for more promotion. I think somewhat they're seeing traffic. We're hearing some traffic slowing down. So they want more promotions to help bring consumers and entice them to come into their stores. So promotions are going to be key, especially this summer. Internally -- when you look at the summer, summer beverage season, right? That's a huge opportunity, call it, the 100 days of

summer as we all get ready for it. So there's going to be promotions because there's going to be a lot -- you need to promote in order to get off-shelf placements. I think the team has done a really good job on that. Not to say it's going to impact gross profit margins or anything, but we -- about 24 weeks a year is really promotional activities traditionally in the energy category. So you have to be able to promote in the category to stay relevant. So we plan to do that.

Q - Bonnie Herzog {[BIO 1840179 <GO>](#)}

In the context of that, you mentioned gross margins. You expect mid-40% range this year. But I think some pressure in the first half as you fully integrate into new distribution system. Can you help quantify the pressure you're expecting in the first half on your margins? Then any kind of incremental efficiencies in the back half of the year?

A - Toby David {[BIO 20749891 <GO>](#)}

So the transition with Pepsi went incredibly smooth and we're not here to pat ourselves on the back. It went very well.

Q - Bonnie Herzog {[BIO 1840179 <GO>](#)}

I'll do that for you because I will say I did assume there would be more disruption, just based on historical and so kudos to both of you.

A - Toby David {[BIO 20749891 <GO>](#)}

Thank you. That being said, the operational call it, challenges that you face when you inject yourselves into a new national distribution network. There's going to take some time to synchronize with their system, trying to understand which SKUs sell best in which regions of the country. There's a lot of different layers that go into it. So to answer your question, from a gross profit perspective, when you look at -- I think some people were maybe expecting a step-up from Q4 into Q1. We were trying to when we spoke to investors, to take more of a conservative approach in the first half of this year because of what we call our orbit model where we try to manufacture, ship to a warehouse and ship to our distributors all within orbits around the country to put as few miles as possible on the cans. We had to destabilize that a little bit throughout Q1 and maybe a little bit in Q2 as well because sometimes you need to sacrifice margin to make sure you have product on shelf as you're learning each other's system.

So if you have to shift from Walla Walla up in the Pacific Northwest down into Dallas, Texas, not ideal on gross margins, but it's something you're going to do to sacrifice because you want to keep the product on the shelf. So that being said, we still anticipate mid-40s in first half of the year, and there could be some upside on that mid -- we don't put a specific number out there. But on the upper end of the mid-40s in the back half of the year, there's opportunities for us. So we'll see.

Q - Bonnie Herzog {[BIO 1840179 <GO>](#)}

Are you operating back within these orbits right now? Or is that going to take a few more months?

A - Toby David {[BIO 20749891 <GO>](#)}

We're trying -- each month is a little bit better. So it's fewer shipments outside of orbit. It's going to take the full year to get synchronized with Pepsi, we've been speaking with investors about it today. Pepsi operates on a different wavelength than we had previously. I mean everything seems

like it's three years in advance. So we're down to 12 months now, and we're doing pretty well as far as planning out for 2024. But we inked our deal with them on August 1. We integrated in October 1. So we didn't actually get a chance to take part in their annual operating plan, their AOP for 2023. So everything we're doing is kind of jammed into the Pepsi system outside of their normal -- the way they typically operate. So 2024 is going to be, I think a superior opportunity for us. But things -- we're still -- we're not content, but things are going pretty well right now.

Q - Bonnie Herzog {[BIO 1840179](#) <GO>}

It sounds good.

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes. I think as Toby mentioned, that I think that's really key that AOP, the planning is that -- that's a good point that we were jammed in at the end. So we weren't able to really leverage a lot of their internal programs and so this '23 or early '24 is going to be the first kind of official year where it's a cohesive portfolio integration, which is great. But talking about gross margins as well in addition to the comments Toby made we are also looking at opportunities on further like vertically integrating opportunities to drive further margin down the road as you look over the next two to three years out. We have road maps in place and opportunities to increase gross profit margin to gain more efficiencies in our orbit models and through the entire supply chain.

Q - Bonnie Herzog {[BIO 1840179](#) <GO>}

So speaking of that, I don't know if you put a target out there, what's a realistic gross margin over the next several years. I mean you're guiding what mid-40% range this year? Is it --

A - John Fieldly {[BIO 17560616](#) <GO>}

I think it's -- when you look at the range, we said mid-40s this year, we'd like to finish the year in that range. You probably can get to the upper mid-40s with some further vertical integration. And keep in mind, when you're benchmarking us against Monster, we include outbound freight in our cost of goods versus Monster includes it as a selling expense. So you need to take that into consideration when you're comparing margins and margin profiles.

Q - Bonnie Herzog {[BIO 1840179](#) <GO>}

All right. So still upside and '24 sounds like a better year just based on what you mentioned. Talk a little bit about your sales and marketing expense. I think you've mentioned you expect it to remain consistent with historical run rates this year. Just simply trying to understand the marketing spend in the context of that. Are you expecting to increase it or step up to remain competitive, and given this momentum? Then just thinking about even driving further awareness, I feel like everyone should know what Celsius is by now. You might argue that there's an opportunity there still.

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes. No. There definitely is an opportunity there. Household penetration still is extremely low when you look at it across the nation. Our sales and marketing expense runs roughly around 22%, 23% of sales. We were a little bit lower in Q1. We were a little bit higher in that range in Q4. So it's really timing of events and activities. There's definitely leverage to be gained in sales and marketing as we grow, but it's almost like we just put a shoe on, that's a little bit too big, right? Because our ACV just went to 95% across the nation. So it's important that we continue to invest in market ahead of the brand growth. That's what we're doing now. We've got some great

programs planned for this summer starting in Q2 and Q3. We just had a great launch party. I don't -- we don't have the product up here, but our Oasis Vibe, was a really great flavor renovation.

We launched a launch party at a Coachella. We were ranked as one of the top --

A - Toby David {BIO 20749891 <GO>}

Top party.

A - John Fieldly {BIO 17560616 <GO>}

Top exclusive parties to go to. So I didn't go, Toby went, but.

A - Toby David {BIO 20749891 <GO>}

What happens in Coachella, stays at Coachella.

Q - Bonnie Herzog {BIO 1840179 <GO>}

That's the right audience too, right? The demographic there, I would imagine.

A - Toby David {BIO 20749891 <GO>}

We had about 1,200 influencers and VIPs at the time the party. So it's just one of the tactics we use to John always says, own the phone. That's the key. Everybody's heads down on their phone all day long. So it's -- whether it's through TikTok and Instagram, whatever Snapchat, whatever the social media platform, it is important for us to reverberate with people that are consuming it.

A - John Fieldly {BIO 17560616 <GO>}

And this Oasis Vibe. We touched on innovation a little bit earlier, but it's on trend, right? It's like the ranch water is on trend, right? That -- so we tied it in there with this -- it's a prickly pair of line. It's really great flavor. It's very unique, and it's got this cool Cactus Oasis Vibe theme, and the team has done a great job. Beautiful-looking can, it's a piece of art and we've gotten a lot of excitement. We partnered with Target on the launch with that. It's just another form of innovation, getting more awareness around the brand with these events and it's -- it will be inclusive into our central vibe store that's going coast to coast. We'll be out here in the Hampton this summer. We've got a variety of events going on. So a lot of great things in the works.

Q - Bonnie Herzog {BIO 1840179 <GO>}

It sounds like you mentioned earlier, the innovation you just have to constantly reinvent to some extent and stay relevant and continue to innovate with flavors, et cetera.

A - John Fieldly {BIO 17560616 <GO>}

You do. You got to continue to reinvent yourself.

Q - Bonnie Herzog {BIO 1840179 <GO>}

Okay. We've got a few minutes left. I wanted to definitely ask about you mentioned it earlier, the ecomm channel, and you have an impressive 19 share. Second largest energy brand on Amazon. So talk about how important that channel is for the future growth within the category?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean Amazon has been key to our strategy from the beginning. We have an omnichannel strategy. Consumers want it when they want it, how they want it. And building a consumer products brand, it's important that you really embrace that concept and consumers, you got half a second at best for them to make a buying decision. If your product is not there, they're going to move on, potentially move to another brand and portfolio. It might be difficult to get them back or we do have a great loyalty, which is great. But Amazon is critical. I think it's -- it allows us to have that broad national distribution, although we're at a 95% ACV at retail now. So I think it's exciting to see us hold at that 19% and number 2 brand. We're only a share -- a few share points away from being number 1 on Amazon, even though our ACV has expanded exponentially.

We're also doing extremely well at the club channel. The club channel is -- we just got in the club channel 12 months ago when we were at this conference last year, and sales were going well. And but now it's -- we have two flavors. We have our core 18 pack. We have our bi-pack at Costco. We're in Sam's, BJ's, and it's -- we're doing extremely well in those channels as well. So you got to be in an omnichannel world, especially as these home delivery systems. There's a variety of areas, and it's just -- it's another point of disruption.

Q - Bonnie Herzog {[BIO 1840179](#) <GO>}

Really quick on the club channel. Remind me of the margin impact. That, that channel has on your business or the headwind and where you're at?

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes. I mean the club channel does require additional reworking and repacking, so there's additional costs associated with that. I think at the end of the day we still feel confident in kind of the numbers that Toby talked about as that mid-40 range on the margins by the end of the year. It's a mix in our business. So as that mix changes, it could impact our margins. Moving to an 18 pack helped us because before we were in a 15 pack last year, that was basically hand packed. So now this 18 pack allows us to be in line which improves efficiencies, allows us to produce a lot more product. So that was a major initiative that we had working with the club channel for this year as we reset. But we're still confident in the mix that we -- our margin mix there.

Q - Bonnie Herzog {[BIO 1840179](#) <GO>}

Okay. Then finally, switching gears. Again a few minutes left. I was very intrigued by you made some comments on your quarterly call about further international expansion plans. I think you said early next year. So any more color on that, just how big of an investment you expect this to be? And think about in the context of your partnership with Pepsi and the role they will play in this expansion?

A - John Fieldly {[BIO 17560616](#) <GO>}

Yes. I got Toby really integrated a lot of those discussions. I'll let you lead.

A - Toby David {[BIO 20749891](#) <GO>}

Yes, sure. So I mean we're working closely. We have been for a few months with Pepsi as far as they are a preferred international distributor. They're a little bit unique where most of their international distribution is through third-party bottlers. So I was just trying to figure out, making sure that we have the right pricing systems where everybody can make the necessary margins and the P&L works out. That being said, we've talked about certain countries over the last year, even prior to Pepsi. We want to fish where the fish are. So number one, in the U.S., I mean of the

top 10 markets we're interested in right now, the U.S. is the top 10 markets. After that, we're going to look at the U.K., Canada, Germany, Japan, Australia.

So really where -- these are energy markets already where we don't have to create the category. We're just working through the systems with Pepsi now. I do think there's some opportunities towards the end of this year, maybe for an entry in late Q4 into Q1. But really, consensus has us over \$1 billion in revenue in 2023. So overall, the percentage will probably still be a small percentage. When you look at Monster, 37% of their revenue is international, but it's taken them 20-plus years to get to that number, and they're still having some difficulties even in like China, where they launched six or seven years ago. So we're going to be methodical about it. No shocking approaches here. We're judged every quarter on our earnings. So we're going to be -- we're cognizant of that and we're going to be tactical.

A - John Fieldly {[BIO 17560616](#) <GO>}

I think it is important when we enter a market that we're successful, right? We just want to put it on the shelf as they say spray and pray. That's the comments we were talking about internally. So it's really critical. We want to make sure we build that loyal consumer and make it successful. Then also resource alignment, right? So there's only so many dollars out there. So what markets are we going to strategically invest in where those dollars are coming from, and we'll need to communicate that to our investors that are expecting certain EBITDA and operating income margins as we grow forward. So as Toby mentioned, we want to be really tactical in our approach. The biggest opportunity out of the 10 is the U.S., which is the number 1 biggest market right now. Sitting on an eight share and 95% ACV with 13.6 SKUs and \$1 billion of retail sales running at the register in the last 52 weeks. I think we're really excited where we're at.

Q - Bonnie Herzog {[BIO 1840179](#) <GO>}

No. That sounds great. Maybe that is a great time to end with just a minute left, honestly. End on a high note. Congrats for a great quarter and the last year plus it's been great to see the success.

So congrats. Thank you for your time.

Thanks, everyone.

A - John Fieldly {[BIO 17560616](#) <GO>}

Appreciate it, thanks.

A - Toby David {[BIO 20749891](#) <GO>}

Thank you.

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